

Questions on coding conventions, v1.14

For Alex Gorbenko · 25 September 2026

1. What changed

The bid-terms columns you confirmed on 24 September are in v1.14 of the extraction instruction; this document replaces that day's questions. Austin has since decided some points and adopted provisional answers to others in v1.14; a later version changes any you reject. Some answers, decided and provisional, depart from a recommendation you saw or from a rule or wording you confirmed; each is marked **Yes** under "Changed".

How to answer. Circle Yes, No or an option, or write a comment. Question numbers are those of 24 September; pages are the filings' printed pages; C1 to C19 are the excerpts in part 4; small grey labels are Austin's references.

2a. Decided, for information (comments welcome)

Rule	Case	Changed?
Contingent payments. D4 A CVR or earnout is part of the price, in its own columns (Price low and high are upfront only), and alone neither makes a bid Heavy nor prevents None.	Mac-Gray, Party B, 18 September 2013: \$19.00 cash plus options Party B valued at \$2.50, so upfront \$19.00 and CVR/earnout \$2.50 (p. 36; C1).	Yes. The draft Part A listed "a contingent part of the price" among the conditions.
Exclusivity. D14 Never changes Formality or the Conditions level, and is not a diligence period; stated remaining diligence of two weeks or more counts toward Heavy unless described as only confirmatory or limited.	Synacor, Company E, 18 September 2020: about five weeks' exclusivity; not Heavy on that, normally Unclear (pp. 33–34; C2).	Yes. Question 6(a): A (Company E Heavy) was recommended; B follows your note that exclusivity should not make a formal bid informal.
A later exclusivity request. D15 Made with no other change, it is its own Exclusivity changed row and leaves the earlier bid unchanged; made with a bid, it is coded on that bid's row only.	Penford, Ingredion: the 14 August 2014 request is its own row; the 10 August bid is unchanged (pp. 25–27; C3).	Yes. The rules you confirmed also coded it on the standing bid.
Carried terms. D1 , express incorporation A revised or reaffirmed bid carries only the earlier terms the filing says were carried; status facts such as diligence progress are judged at the new date; other unreported terms are Not stated.	sTec, WDC, 10 June 2013: the 28 May terms carry, not the diligence WDC stopped on 31 May (pp. 31–32; C4). Also Meredith, Party B, 20 April 2021 (p. 67; C5).	Yes. The rules you confirmed copied all earlier values when the filing said the other terms were unchanged.
Same-price commitment changes. D13 A same-price change to the bidder's commitments (reverse fee, sponsor guarantee or damages cap, financing or closing conditions) is a Bid row; the target's termination fee goes in a dated Note.	Mac-Gray, CSC/Pamplona at \$21.25: the 21–23 September 2013 package and the proposals of 5 and 8 October are Bid rows; the target's \$11 million fee is a Note (pp. 37–41; C6).	No.

Comments on 2a:

2b. Provisional: yes or no

#	Rule	Case	Changed?	Agree?
1	“No financing condition”. D5 A bid so stated is Committed, even with an unsigned or draft debt commitment or only highly confident lender support; the Note records the lender documents and any reverse fee.	Kraton, Parent, September 2021: draft debt commitment letter; \$63 million reverse fee. Committed (pp. 38–40; C7).	No. Consistent with option B of question 6(b), which was recommended.	Yes No
Comment:				
2	Partial-company bidders. D7 Recorded, but outside whole-company live counts and the auction screen; a bidder switching to a partial offer leaves at the switch; if the target weighs a partial offer against a whole-company sale, a Question names the parties so a wider count can be rebuilt.	Kraton, Party K (chemical segment only), with a Question (p. 35; C8). Synacor, Company E: leaves on 14 December 2020 (pp. 34–35; C9).	Yes. Question 2: C was recommended; B fits your remark that such bids “do not compete against bids to sell the entire company”.	Yes No
Comment:				
3	Rounds. D8 A deliberate reopening of outreach to rivals after a suspension opens a round, dated at the outreach, not the board’s authorization; each stage counts once (admission, common diligence and a later letter setting its submission are one round); finality is the procedure the target announced or visibly put in place.	Synacor, 27 October 2020 (p. 34; C9); Datalink, 1 October 2016 (p. 32; C16). Maps: 3.1.	Yes, in part. Question 3: A, unchanged; the count-once rule is new.	Yes No
Comment:				
4	Merger-of-equals talks. D17 No control or premium test; while it is unresolved whether the target is being sold, the talks are dated events outside the counts, with a Question flagging the unclear scope and giving the map with the counterparty as a bidder.	Synacor, Company B, October 2018 to March 2019 (p. 30; C10).	Yes. Question 4: C was recommended and is withdrawn; this is neither A (no rows) nor B (a sale attempt with Company B as a bidder).	Yes No
Comment:				

#	Rule	Case	Changed?	Agree?
5	Price-only revision: Formality. D9 Formal only if it qualifies on its own or the bidder expressly refers back to earlier Formal terms; the target negotiating from an earlier markup, or later document work, is not enough.	Providence and Worcester, G&W, 26 July 2016: no reference back, so Informal (pp. 29–30; C11). sTec, WDC, 10 June 2013: refers back to 28 May terms that came with a markup, so Formal (p. 32; C4). You coded G&W Formal, WDC Informal.	Yes. Question 5: B was recommended; it also made G&W Formal, as the target negotiated from its markup.	Yes No
Comment:				
6	Price-only revision: conditions. question 5, second half Coded only from what the filing reports for the revision: silence is Not stated; the level is Unclear unless other evidence supports one.	Mac-Gray, Party B, 18 September 2013: silent on financing, so Not stated and Unclear; the committee's 19 September expectation is not a term of the bid (pp. 35–37; C1).	No. As option B.	Yes No
Comment:				
7	Missed due dates. D10 A bidder that misses a due date but carries on (asks for time, is invited to continue, or bids later) gets no exit and no re-entry; the miss is noted. “Did not submit” is used only where participation ends.	sTec, Company D: missed the 28 and 30 May 2013 due dates, asked for time, was invited to continue; live until it withdrew on 5 June (pp. 30–32; C12).	No. As reading 2 of part 2.	Yes No
Comment:				
8	Deadlines. D11 The first that fits: Extended, if a later due date was set; Extended (late bid accepted), if the target considered an overdue required response (first, revised or final); Enforced, if it used the cutoff in its next step. Improvements it then invites, with no new date, are bargaining within the round.	Mac-Gray: 23 July and 9 September 2013 Extended (late bid accepted), as day-late responses were considered; 18 September Enforced, as the \$21.25 was invited afterwards (pp. 32–37; C13). PetSmart, 30 October 2014: Bidder 2 raised its on-time bid before the board acted on 3 November, with no invitation reported: Enforced if that is bargaining within the round; else Unclear, being neither an overdue response nor invited after the board acted (pp. 23–24; C14). sTec, 30 May 2013: Enforced; your coding differs (3.1).	Yes. Question 7: A was recommended; now any accepted late required response is an extension (your convention, as Austin reported it). A's prediction (both Enforced) holds, for PetSmart on the first reading.	Yes No
Comment:				

As confirmed on 24 September, a regulatory concern rules out None without by itself setting the level; it needs no question.

3. Open decisions

3.1 Round maps when each stage counts once Decision 1

Counting each stage once (2b, item 3) keeps a later letter setting a stage's submission in that stage's round, but the first request for final offers still opens a round, even to the same bidders; where the letter is that request, the maps differ (Kraton, Datalink). For sTec, the question is whether 16 May began the final round. Maps and recommendations come from a re-check of the current ledgers.

Kraton (pp. 33–39; C15)

Round	A. Count once: two rounds (recommended)	B. First final request opens a round: three rounds (current ledger)
1	24 May to 20 July 2021: outreach; due 29 June, then 19 July after the 6 July request to improve; Not final	Same
2	20 July admission of Parties A, H and Parent; diligence; final bid procedures letter, due 15 September; Announced as final; Extended (late bid accepted), as Party A's 17 September bid was considered	20 July admission and diligence; no request for bids; Not final
3	—	Final bid procedures letter after 11 August; due 15 September; Announced as final

Your voice note (item 3) starts round 2 on 6 July, making the formal stage round 3; v1.14 keeps 6 July in round 1, as asking the same bidders to improve continues a round.

Datalink (pp. 27–32; C16)

Round	A. Count once: four rounds	B. First final request opens a round: five rounds (standing map)
1	January to May 2016: bilateral talks with Party A, from 29 January	Same
2	June outreach; indications due 18 and 21 July	Same
3	27 July selection of five bidders, diligence, then the 16 August letter; due 30 August; Announced as final	27 July selection and diligence only; no request; Not final
4	1 October re-approach to Parties B and C after Insight's exclusivity lapsed	16 August letter; due 30 August; Announced as final
5	—	1 October re-approach

Austin's ruling of 21 September (five rounds, January's talks with Party A as round 1) stands until he decides otherwise. Your notes start round 1 at the bank's first contacts (June); both maps keep Austin's round 1.

sTec (pp. 27–32; C4, C17)

Round	Map A: 16 May began the final round (recommended)	Map C: 16 May not final (your voice note)
1	April 2013 outreach; indications due 3 May; Not final	Same
2	From 15 or 16 May: letters to WDC and Company D; due 28 May (Extended), then best and final by 30 May (Enforced: no later due date was set); Announced as final; through WDC's withdrawal (31 May), return (10 June) and \$6.85 bid (14 June) to signing	16 May letters, due 28 May; Enforced; Not final
3	—	From the 29 May request for best and final proposals, due 30 May; Enforced; Announced as final; to signing

Map A follows the target's "final round process letters"; map C, the minutes' "request for non-binding proposals" (both p. 30) and your voice note (item 6: "this is not the final round"). Your spring coding agrees with map A on the round count but extends the round to 10 June, where map A has 30 May Enforced (pp. 31–32). Map B, the current ledger, follows map A to 30 May, then opens round 3 after WDC's withdrawal on 31 May.

Kraton and Datalink, circle one: **A** **B** Comment:
sTec, circle one: **Map A** **Map B** **Map C** Comment:

3.2 Counts given as ranges (question 1) Decision 3

When a filing leaves unclear whether unnamed bidders belong to a group total, the ledger records a range with its reasoning and always keeps the bounds; analysis also carries the count that presumes the ordinary sequence (sign, receive information, then bid). Datalink: 13 to 16 confidentiality signers did not bid; exactly 13 if every bidder signed (pp. 28–29; C16). Mac-Gray: 0 to 16 of the 16 unnamed financial signers missed 23 July; all 16 if all signed in time (pp. 32–33; C13). What should estimation use?

- A.** The range, for example as bounds on the rivals a bidder faced.
- B.** The ordinary-sequence count, with the bounds for robustness; recommended on 24 September.
- C.** One bound (say which).

Circle one: **A** **B** **C** Comment:

3.3 How analysis reads the ledger Decision 3b

Analysis computes every variant below and picks none.

(a) Which Formality reading is primary? Agreement with your labels on trial extractions made with the 24 September draft (a check, not a tuning target):

Reading	Bid counts as formal when	Mac-Gray: agree, of 13	Providence and Worcester: agree, of 14
T0	Formality as recorded	13	11
T1	Formal and not Heavy (Unclear counts as not Heavy)	11	14
T1u	As T1, but Unclear counts as Heavy	11	13
T2	Formal, with a single price, not a range	12	11
T3	Formal, in a round announced as final or inferred final	13	11

Your spring coding matches T0 (and T3) fully on Mac-Gray and T1 fully on Providence and Worcester; no reading matches both. The trial ledgers have Formal with Heavy conditions where you coded Formal (Mac-Gray, Parties A and B, 18 September 2013; Party B's Financing Contingent came from the committee's 19 September remark, which 2b item 6 would not use) and where you coded Informal (Providence and Worcester, Party D on 20 July and 1 August 2016 and G&W on 21 July; diligence periods of three weeks or more).

(a) Circle one: **T0** **T1** **T1u** **T2** **T3** Comment:

(b) Are same-price commitment changes (Bid rows under 2a; C6) new price observations?

A. Yes: the bidder committed again at that price.

B. No: the price is observed once.

(b) Circle one: **A** **B** Comment:

(c) Do inferred exits enter as dropouts or as censoring? The ledger infers an unreported exit at the first point that applies and marks it as inferred. For example, those of Mac-Gray's 16 unnamed financial signers who were eligible for 23 July and are never mentioned again are recorded as not submitting by it (0 to 16 of them, as in 3.2; C13).

A. Dropout, as for a reported exit.

B. Censoring: nothing is inferred about the bidder's value.

(c) Circle one: **A dropout** **B censoring** Comment:

3.4 Readings still open from part 2

sTec, Company H (pp. 29–30; C18). Proposed: the target did not advance H, with the exit dated as a window, since the filing does not date the decision, and the price feedback and H's 23 May reply kept. On 24 September the proposed reason was “would not improve earlier offer”; your coding has H's own drop.

Agree? **Yes** **No** Comment:

Penford, Party A (pp. 31–32; C19). Proposed: 4 October is a threshold, not a bid; the 14 October letter at \$16.00 is its bid; 13 October is ambiguous, so the ledger raises a Question. On 24 September both 4 and 13 October were proposed as valuation statements.

Agree?	Yes	No	13 October, if you read it one way:	a bid	not a bid	Comment:
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3.5 Which source governs

When your spring hand coding and August voice notes disagree, which governs? They differ on whether sTec's 16 May began the final round (3.1); on Providence and Worcester the voice note says Party A “never made it out of round one”, while the hand coding has it drop out on 22 July 2016.

A. The voice notes.

B. The hand coding.

C. As so far: a general rule stated in the notes governs; a remark about one deal's facts is a reading to confirm with you.

Circle one:	A	B	C	Comment:
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4. Case appendix

Excerpts are quoted exactly; “...” marks an omission; a date after a page number is the event date where the excerpt lacks it. Filings (DEFM14A unless stated): Mac-Gray, 4 December 2013; Synacor, Offer to Purchase (SC TO-T), 3 March 2021; Penford, 29 December 2014; sTec, 8 August 2013; Meredith, 8 November 2021; Kraton, 4 November 2021; Providence and Worcester, 20 September 2016; PetSmart, 2 February 2015; Datalink, 29 November 2016.

C1. Mac-Gray, Party B, 2013

“Party B's revised indication of interest did not include a firm financing commitment.” (p. 35; 9 September)

“Party B valued at \$21.50 per share, including \$19.00 of cash to be paid at closing and the remaining per share price to be paid in the form of options ... Party B's proposal stated that it valued the Party B options at \$2.50 of incremental value per share.” (p. 36; 18 September)

“The Special Committee also noted that Party B would likely be financing the transaction with a combination of equity from affiliated funds and third party debt capital” (p. 37; 19 September)

C2. Synacor, Company E, 2020

“On September 18, 2020, Company E provided a revised letter of intent to the Company ... requesting that the Company enter into exclusivity with it until October 23, 2020.” (p. 33)

“On September 23, 2020, the Company and Company E entered into Company E's letter of intent, and began coordination to commence diligence” (p. 34)

C3. Penford, Ingredion, 2014

“On August 10, 2014, Penford received a letter from Mr. Fortnum ... providing an indicative valuation of \$18.00 per share in cash” (p. 25)

“Mr. Fortnum asked whether Penford would consider whether to enter into exclusive negotiations with Ingredion.” (p. 27; 14 August)

C4. sTec, WDC, 2013

“On May 28, 2013, WDC submitted a written second-round indication of interest at a price per share of \$9.15 in cash, with a mark-up of the merger agreement” (p. 30)

“WDC discontinued their due diligence efforts with the company at that time.” (p. 31; 31 May)

“On June 10, 2013, WDC submitted a revised written indication of interest to acquire the company at a price range of \$6.60 to \$7.10 per share in cash. ... WDC was otherwise prepared to move forward on the transaction terms previously proposed on May 28, 2013.” (p. 32)

C5. Meredith, Party B, 2021

“On April 20, 2021, Party B submitted a revised proposal for \$2.33 billion in cash ... The proposal was otherwise materially unchanged from its April 14, 2021 proposal” (p. 67)

C6. Mac-Gray, CSC/Pamplona, 2013

“a \$15 million “reverse” termination fee payable by CSC/Pamplona to Mac-Gray in the event regulatory clearance is not obtained ... there would be no financing contingency” (pp. 37–38; 21 to 23 September)

“On October 5, 2013, Kirkland delivered to Goodwin Procter a revised draft of the Pamplona commitment letter which, among other things, proposed that, in addition to CSC, Pamplona would be responsible in the event CSC failed to consummate the merger” (p. 39)

“which Kirkland proposed, at the direction of CSC/Pamplona, be capped at \$50 million.” (p. 39; 8 October)

“agreed to the \$11 million Mac-Gray termination fee.” (pp. 40–41; 11 October)

C7. Kraton, Parent, 2021

“while Parent agreed that financing would not be a condition to consummation of the merger, ... although Parent required debt financing to consummate the merger” (p. 38; 8 September)

“King & Spalding LLP provided a revised draft of the merger agreement ... and a revised draft of the debt commitment letter.” (p. 39; Kraton’s counsel, 20 September)

“a reverse termination fee of \$63 million if the Company terminated the Merger Agreement as a result of the failure of the Debt Financing being available to Parent.” (p. 40)

C8. Kraton, Party K, 2021

“Party K also informed Kraton that it was only interested in acquiring Kraton’s chemical segment” (p. 35)

“the proposals submitted by these parties would be further evaluated by the Board in the context of any updated proposals submitted with respect to the potential acquisition of all of Kraton.” (p. 35; 6 July)

C9. Synacor, reopening and Company E, 2020

“on October 27, 2020, Mr. Bhise again reached out to Company H to evaluate its interest in a potential transaction with the Company” (p. 34; Mr. Bhise is Synacor’s chief executive)

“On December 14, 2020, the Company received a revised proposal from Company E ... a tender offer at a purchase price of \$2.00 per Share for 35% of the outstanding Shares.” (p. 34)

“Company E advised the Company that it no longer had interest in its prior proposed transaction structure which included a purchase price of \$2.00 per Share for 100% of the Company’s outstanding equity and equity awards.” (p. 35)

C10. Synacor, Company B, 2018–2019

“In October 2018, the Company and a publicly-traded software company (“Company B”) entered into a mutual non-disclosure agreement ... “merger of equals” ... elected to terminate the process in March 2019.” (p. 30)

C11. Providence and Worcester, G&W, 2016

“Party B, G&W and another bidder (“Party D”) also provided mark-ups of the draft merger agreement” (p. 29)

“On July 26, 2016 ... G&W submitted a revised LOI, which increased its offer to \$22.15 per share” (p. 29)

“Hinckley Allen provided G&W with a revised merger agreement and voting agreement, reflecting changes from the marked-up documents included with G&W’s LOI.” (p. 30; 3 August)

C12. sTec, Company D, 2013

“Company D needed approximately two weeks of additional time to continue its ongoing due diligence review” (p. 30; 28 May)

“they informed Company D’s representatives that timing for sTec’s process had been delayed, and that Company D had an opportunity to continue in the process.” (p. 31; after 31 May)

“On June 5, 2013 representatives of Company D ... was disengaging from the process.” (p. 32)

C13. Mac-Gray, due dates, 2013

“Over the next two months ... 18 financial bidders (including Party B and Party C), entered into confidentiality agreements with Mac-Gray ... a preliminary indication of interest, which they were instructed to submit by July 23, 2013.” (p. 32)

“On July 24, 2013, Party B submitted a preliminary indication of interest ... Also on July 24, 2013, representatives from Party C called BofA Merrill Lynch and presented an oral preliminary indication of interest” (p. 33)

“representatives of BofA Merrill Lynch reviewed the preliminary indications of interest received from Party B, Party C and CSC/Pamplona” (p. 33; 25 July)

“submit revised written proposals no later than September 9, 2013 ... On September 10, 2013, Party A submitted a revised indication of interest” (p. 35)

“request final indications of interest by September 18, 2013” (p. 36; 11 September)

“The Special Committee then discussed each of the three revised proposals ... The Special Committee then authorized the Transaction Committee to inform CSC/Pamplona that the Special Committee would be prepared to move into exclusivity at a price of \$21.25 per share” (p. 37; 19 September)

C14. PetSmart, due date, 2014

“non-binding preliminary indications of interest would be due on October 30, 2014.” (p. 23)

“On October 30, six of the potentially interested parties submitted indications of interest. From October 30 to November 2, 2014, representatives of J.P. Morgan spoke by telephone with all of the potentially interested parties ... to hear the parties’ respective rationales for the price levels suggested in their indications ... As a result of its discussions with J.P. Morgan, another bidder (which we refer to as “Bidder 2”), which had initially indicated a price of \$78.00, increased its indication to a range of \$81.00 to \$84.00 per share.” (p. 24)

“The board determined to allow the four bidders that had indicated a price or range at or above \$80.00 per share to proceed to the final round” (p. 24; 3 November)

C15. Kraton, rounds, 2021

“the Board would require updated indications of interest to be received by July 19, 2020 that ascribed a greater value to Kraton before making any determination regarding which potential acquirers, if any, should be invited into the second round of the process.” (p. 35; 6 July; the filing prints 2020 for 2021)

“invite Party A, Party H, and Parent to the second round of the transaction process, and to provide these parties with additional financial and other due diligence materials” (p. 36; 20 July)

“Following the Board meeting on August 11, 2021 ... J.P. Morgan provided a final bid procedures letter to Party A, Party H, and Parent that requested these bidders to submit ... final indications of interest by September 15, 2021.” (p. 37)

“On September 17, 2021, Party A provided a revised proposal to acquire Kraton for \$40.50 per share.” (p. 39)

“the Board reviewed the updated proposals submitted by Parent, Party A and Party K.” (p. 39; 18 September)

C16. Datalink, rounds, 2016

“On January 29, 2016, our board convened to consider the proposal from Party A.” (p. 27)

“Beginning June 6, Raymond James contacted 13 strategic acquirers (including Party A, Party B and Insight), 10 of which (including Party A, Party B and Insight) signed a non-disclosure agreement ... Later in June, Raymond James also contacted 14 financial sponsors (including Party C), 13 of which (including Party C) signed a non-disclosure agreement” (p. 28)

“Four strategic parties (in addition to Party A, which submitted the proposal described above on March 29, 2016), including Insight and Party B, and five financial sponsors, including Party C, submitted initial indications of interest.” (p. 29)

“our board directed our management and the Raymond James team to continue to pursue a transaction with the five parties that submitted the highest-priced initial indications of interest” (p. 29; 27 July)

“On August 16, 2016, Raymond James provided each of Insight, Party B and Party C with an instruction letter relating to their final proposals. ... submit its proposal by 5:00 p.m. Eastern time on August 30, 2016” (p. 29)

“On October 1, 2016, Raymond James contacted Party B and Party C by telephone, each of whom expressed interest on those calls in reengaging in the process.” (p. 32)

C17. sTec, rounds, 2013

“After the meeting, at the direction of the board, BofA Merrill Lynch sent final round process letters and a draft merger agreement to WDC and Company D, requesting a response by May 28, 2013.” (p. 30; 16 May)

“in response to sTec’s request for non-binding proposals on May 28, 2013 ... our board of directors directed BofA Merrill Lynch to request a “best and final” proposal from WDC and a “best and final” written proposal from Company D by May 30, 2013.” (p. 30; 29 May)

“Our board of directors unanimously determined to move forward with WDC on their proposed terms ... WDC was not prepared to move forward with a transaction with sTec at that time.” (p. 31; 30 and 31 May)

C18. sTec, Company H, 2013

“Company H submitted a written non-binding indication of interest ... in the range of \$5.00 – \$5.75 per share in cash.” (p. 29; 15 May)

“representatives of BofA Merrill Lynch contacted Company H and indicated that the price range Company H had submitted was not sufficient to move them forward in the process. The Company H representative was told that Company H could submit a revised indication of interest” (p. 30)

“Company H remained interested in a potential acquisition of the company but that Company H was not able to increase its indicated value range.” (p. 30; 23 May)

C19. Penford, Party A, 2014

“On October 4, Deutsche Bank followed up with Party A ... Party A indicated any offer would be below \$17.50 - \$18.00 per share in cash. Deutsche Bank encouraged Party A to submit a letter of interest that could be reviewed by the board of directors.” (p. 31)

“On October 13, 2014, Deutsche Bank had a discussion with representatives of Party A, who indicated that its value range for a potential transaction had been reduced from \$17.50 - \$18.00 per share to \$16.00 - \$18.00 per share” (p. 32)

“Later on October 14, 2014, Party A provided a formal letter with its indication of interest ... at a price of \$16.00 per share” (p. 32)